

Here is the comprehensive cluster analysis detailing churn rates, root causes, risk levels, and targeted retention methods for each customer segment.

Cluster 1: High-Risk Segment

Segment Overview

Cluster 1 is our largest and most vulnerable customer segment with 15,315 total customers. It is characterized by younger demographics holding unengaged or unmanaged accounts who exhibit a rapid drop-off in platform engagement.

Churn Rate

- **Churn Rate:** 64.38% (9,860 churned out of 15,315 total customers)
- **Stay Rate:** 35.62%

Root Causes

- **Low Time Spent:** Customers who churned spent significantly less time on the platform: **152.34 minutes vs 190.82 minutes** for those who stayed.
- **Lack of Membership:** A dominant **31.05%** of churners held "No Membership" compared to just **1.52%** of stayers.
- **Wallet Points Deficit:** Churners accumulated fewer loyalty points in their wallet: **638.79 vs 725.45** for stayers.
- **Age Discrepancy:** Churners tended to be slightly older within this young demographic cohort: **26.09 years vs 23.18 years** for those who stayed.

Risk Level & Immediate Actions

- **Risk Level: Risky** (Highest churn volume and rate).
- **Immediate Actions:** Trigger automated re-engagement workflows the moment session duration dips below 150 minutes, and push time-sensitive upgrade incentives for non-members.

Suggested Retention Actions

1. Deploy an urgent welcome-back onboarding email sequence offering a 20% discount on first-tier memberships.
 2. Introduce gamified app tasks to immediately boost platform time-spent metrics past the 190-minute threshold.
 3. Grant an immediate loyalty points bonus (top-up of 100 points) to bridge the wallet points gap for at-risk users.
 4. Implement push notifications highlighting popular features that non-members are missing out on.
 5. Create exclusive "Young Professional" or student-tier bundles to capture the demographic sweet spot.
 6. Set up a dedicated customer success outreach campaign for users who exhibit declining login frequency.
 7. Offer a risk-free 14-day trial of premium membership features to demonstrate platform value.
 8. Send personalized digest emails showcasing trending products or services tailored to their age group.
 9. Implement a rapid-response feedback widget inside the app to capture frustration points before churn occurs.
 10. Launch an automated win-back campaign offering free shipping or equivalent perks for dormant accounts.
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Cluster 0: Medium-Risk Segment

Segment Overview

Cluster 0 represents a core group of 12,390 customers experiencing moderate-to-high churn driven heavily by basic tier limitations and declining wallet balances.

Churn Rate

- **Churn Rate:** 59.99% (7,433 churned out of 12,390 total customers)
- **Stay Rate:** 40.01%

Root Causes

- **Basic Membership Bottleneck:** A dominant **37.71%** of churners were stuck on a "Basic Membership" compared to only **1.78%** of stayers.
- **Wallet Points Gap:** Churners held lower wallet balances: **624.95 points vs 723.81 points** for customers who stayed.
- **Transaction Value:** Churners logged slightly higher average transaction values (**23,876.09 vs 22,976.98**), suggesting price sensitivity or mismatched expectations on larger purchases.
- **Login Frequency:** Churners logged in slightly more frequently (**17.92 days vs 16.92 days**), indicating active usage but failure to convert or find lasting value.

Risk Level & Immediate Actions

- **Risk Level: Medium Risk** (High volume with clear tier-upgrade bottlenecks).
- **Immediate Actions:** Target Basic Membership holders with upgrade promotions and unlock tiered reward structures to bridge the wallet points gap.

Suggested Retention Actions

1. Offer a subsidized upgrade path from Basic Membership to Silver or Gold tiers.
2. Implement double-points reward days to accelerate wallet point accumulation for active users.
3. Provide targeted cash-back or discount incentives on transactions hovering around the 23,800 value mark.
4. Deliver proactive customer service check-ins after a customer's second or third transaction.
5. Launch a milestone-based rewards program that grants bonus points upon reaching login frequency milestones.
6. Create educational content demonstrating how higher-tier memberships save money over time.
7. Introduce flexible payment or installment options for transactions exceeding average thresholds.
8. Solicit direct feedback regarding limitations experienced under the Basic Membership tier.
9. Send personalized product recommendations based on past transaction history to increase perceived utility.
10. Establish a VIP support queue for users showing signs of frequent logins paired with stagnant spending.

Cluster 2: Medium-Risk Segment

Segment Overview

Cluster 2 is a smaller, niche segment of 3,761 customers where churn is heavily dictated by a mismatch between transaction values and membership tier benefits.

Churn Rate

- **Churn Rate:** 57.03% (2,145 churned out of 3,761 total customers)
- **Stay Rate:** 42.97%

Root Causes

- **Transaction Value Mismatch:** Customers who churned had *lower* average transaction values: **25,852.87 vs 30,740.44** for those who stayed, indicating that lower-spending users feel priced out or unsupported.
- **Basic Membership Lock-in:** A massive **37.62%** of churners held "Basic Membership" compared to just **1.61%** of stayers.
- **Wallet Points:** Churners lagged in wallet points: **633.49 vs 735.25** for stayers.
- **Login Cadence:** Churners logged in more frequently: **17.45 days vs 15.49 days** for stayers, pointing to high engagement without monetization.

Risk Level & Immediate Actions

- **Risk Level: Medium Risk** (Moderate size, distinct transaction value split).
- **Immediate Actions:** Design mid-tier pricing packages and curated product bundles suited for the 25,000 transaction range.

Suggested Retention Actions

1. Create a specialized product catalog curated specifically for transactions in the 25,000–26,000 range.
2. Introduce an automatic points-multiplier for users logging in more than 17 days a month.
3. Incentivize Basic Membership holders with bundled discounts to encourage migration to higher tiers.
4. Offer tailored financing or loyalty rebates to bridge the gap toward the 30,700 transaction benchmark set by stayers.
5. Send personalized "value-add" emails explaining how premium memberships reduce net costs on mid-tier purchases.
6. Implement a tiered loyalty milestone specifically rewarding consistent monthly login habits.
7. Provide exclusive customer support webinars demonstrating advanced platform features.
8. Create targeted promotional campaigns during a user's peak login days.
9. Conduct exit surveys specifically targeting Basic Membership holders to refine mid-tier pricing.
10. Roll out a loyalty points redemption event to reduce the wallet point deficit.

Cluster 3: Lower-Risk Segment

Segment Overview

Cluster 3 is our healthiest segment comprising 5,526 customers, boasting a strong retention rate anchored by high transaction values and positive user experience feedback.

Churn Rate

- **Churn Rate:** 24.07% (1,330 churned out of 5,526 total customers)
- **Stay Rate:** 75.93% (Lowest churn rate across all segments)

Root Causes

- **Transaction Value Discrepancy:** Even within this loyal group, churners had substantially lower average transaction values: **41,024.52 vs 61,526.52** for stayers.
- **Absence of Membership:** **35.86%** of churners held "No Membership" compared to just **0.48%** of stayers, proving that membership status is a massive retention shield.
- **Website Experience:** **18.68%** of stayers cited a "User Friendly Website" as positive feedback, whereas churners lacked this positive sentiment.
- **Login Frequency:** Churners logged in far less frequently: **6.46 days vs 8.49 days** for stayers.

Risk Level & Immediate Actions

- **Risk Level: Lower Risk** (High retention baseline; focus is on protecting high-value habits).
- **Immediate Actions:** Maintain seamless website UX and target the minority of un-memebered/low-transaction users with light-touch engagement campaigns.

Suggested Retention Actions

1. Implement lightweight, non-intrusive UI/UX feedback prompts to ensure website satisfaction remains high.
2. Send automated re-engagement nudges when login frequency drops below 6 days per month.
3. Introduce light-touch membership introductory offers for the 35.86% of non-members in this cluster.
4. Reward high-spending stayers (61K+ transaction average) with exclusive VIP perks and early access.
5. Provide personalized cross-selling suggestions to help lower-spending users approach the 61K transaction benchmark.
6. Maintain frictionless checkout flows to preserve the high user-friendly website sentiment.
7. Establish an annual loyalty anniversary reward to reinforce long-term retention.
8. Send quarterly customer satisfaction (CSAT) pulse surveys to monitor sentiment shifts proactively.
9. Create a referral program encouraging satisfied stayers to bring in peers with similar high-value profiles.
10. Provide periodic exclusive content or preview events to keep high-value users continuously engaged.